

Bank Secrecy Act (BSA) / Anti-Money Laundering (AML) Policy

1. Purpose and Scope This policy outlines the commitment of [Community Bank Name] ("the Bank") to comply with all applicable laws and regulations under the Bank Secrecy Act (BSA), Anti-Money Laundering (AML) rules, and the USA PATRIOT Act. This policy applies to all employees, officers, and directors of the Bank.

2. Policy Statement The Bank is committed to preventing its services from being used for money laundering, financing terrorism, or other financial crimes. The Bank will comply with all federal laws and regulations, implement robust internal controls, and provide regular training to staff.

3. Roles and Responsibilities

- **Board of Directors:** Approves the BSA/AML Policy annually and ensures the Bank maintains adequate resources and personnel to comply.
- **BSA/AML Officer:** Responsible for daily oversight, monitoring compliance, updating procedures, and reporting directly to the Board.
- **Employees:** Must comply with policy procedures, complete required training, and report suspicious activity to the BSA Officer.

4. Customer Identification Program (CIP) The Bank will implement a written Customer Identification Program to verify the identity of new customers. Required information includes:

- Name
- Date of birth
- Address
- Identification number (e.g., Social Security Number, passport, or other government-issued ID)

5. Customer Due Diligence (CDD) and Enhanced Due Diligence (EDD) The Bank will conduct ongoing CDD for all customers and implement EDD for higher-risk customers. EDD measures include additional verification of beneficial ownership, source of funds, and purpose of accounts.

6. Suspicious Activity Reporting (SAR) Employees must report suspicious activity immediately to the BSA Officer. The Bank will file SARs with FinCEN in compliance with federal requirements:

- Transactions aggregating \$5,000 or more involving potential money laundering or violations of BSA.
- Suspicious transactions, regardless of dollar amount, involving insider abuse.

7. Currency Transaction Reporting (CTR) The Bank will file CTRs with FinCEN for transactions involving currency over \$10,000. Employees are trained to identify reportable transactions and complete necessary documentation.

8. Recordkeeping The Bank maintains comprehensive records including:

- CTRs and SARs (5 years)

- Customer identification documentation (5 years after account closure)
- Training records (5 years)

9. Independent Testing An independent audit of the Bank's BSA/AML compliance program will be conducted annually. Findings will be reported directly to the Board of Directors.

10. Training Program Annual training on BSA/AML requirements will be mandatory for all employees. Specialized training will be provided to frontline staff and the BSA Officer.

11. Office of Foreign Assets Control (OFAC) The Bank complies with all OFAC regulations and will screen customers and transactions against OFAC sanctions lists.

12. Policy Review This policy will be reviewed and approved annually by the Board of Directors to ensure compliance with evolving regulations and standards.

Approved by Board of Directors: